

MGT401**Assignment 1 (Fall 2024)****Solution By Vu360****Solution:****Financial Statements for HK Ltd.****Statement of Profit and Loss for the Year Ended December 31, 2023****Revenue**

- Sales: Rs. 550,000

Cost of Goods Sold

- Cost of sales: Rs. 75,000
- Carriage out: Rs. 2,500
- Total: Rs. 77,500

Gross Profit

- $\text{Rs. } 550,000 - \text{Rs. } 77,500 = \text{Rs. } 472,500$

Operating Expenses

- Selling commission: Rs. 3,000
- Salaries and wages: Rs. 8,000
- Marketing expenses: Rs. 11,000
- Bad debts: Rs. 1,500
- Rent expense: Rs. 4,500
- Legal expenses: Rs. 5,000
- Repair and maintenance: Rs. 2,700
- Depreciation: Rs. 2,500
- Total: Rs. 38,200

Operating Profit

- $\text{Rs. } 472,500 - \text{Rs. } 38,200 = \text{Rs. } 434,300$

Non – Operating Expenses

- Interest expense: Rs. 2,700
- Tax expense: Rs. 3,500
- Total: Rs. 6,200

Net Profit

- $\text{Rs. } 434,300 - \text{Rs. } 6,200 = \text{Rs. } 428,100$

Statement of Financial Position as at December 31, 2023

Assets

- **Non – Current Assets:**
 - Property, plant and equipment: Rs. 600,000
 - Intangible assets: Rs. 350,000
 - Long – term investments: Rs. 160,000
 - Total: Rs. 1,110,000
- **Current Assets:**
 - Inventories: Rs. 10,000
 - Cash and bank balances: Rs. 150,000
 - Total: Rs. 160,000
- **Total Assets:** Rs. 1,270,000

Equity and Liabilities

- **Equity:**
 - Paid – up share capital: Rs. 400,000
 - Retained earnings (01.01.2023): Rs. 45,000
 - Revaluation surplus: Rs. 3,000
 - Net profit (2023): Rs. 428,100
 - **Total Equity:** Rs. 876,100
- **Non – Current Liabilities:**
 - Long – term loan: Rs. 5,500
 - Debentures: Rs. 360,000
 - Total: Rs. 365,500
- **Current Liabilities:**
 - Accounts payables: Rs. 20,400
 - Short – term loans: Rs. 8,000

- *Total: Rs. 28,400*
- ***Total Liabilities: Rs. 393,900***

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